

Chipkins Puratos – Company Deep Research Report

Company Overview

Chipkins Puratos (Pty) Ltd is a South African-based joint venture between the Puratos Group (Belgium) and Bidcorp Food Africa's Bakery Solutions Division (formerly Chipkins Bakery and NCP Yeast). Established in 2017, this 50/50 JV combines nearly a century of local bakery ingredient expertise with Puratos's global innovation in bakery, patisserie, and chocolate ingredients ¹ ². Chipkins Puratos manufactures and supplies a full range of bakery ingredients (e.g. bread premixes, confectionery mixes, yeast) and related equipment, serving industrial bakeries, craft bakers, and retail in-store bakeries across Southern Africa ³ ². Headquartered in Edenvale, Johannesburg, the company employs over 400 people and has been the largest bakery ingredients distributor in South Africa ⁴. With Puratos's backing, Chipkins Puratos aims to bring more value-added, high-quality ingredients and technical expertise to African bakers, positioning itself as a *"reliable partner in innovation"* in the region ¹ ⁵.

Historical Background and Evolution

Chipkins Puratos's roots trace back to the early 20th-century South African bakery trade. **Walter A. Chipkin (Pty) Ltd**, known as *Chipkins Bakery Supplies*, was a prominent supplier of bakery and catering ingredients. In 1988, Bidvest Group (under founder Brian Joffe) acquired Chipkins as its first foodservice acquisition, marking the birth of "Bidfood" in South Africa ⁶ ⁷. Over the following decades, Bidvest's food ingredients division expanded: in 1997 it acquired **NCP Yeast (Pty) Ltd**, a major yeast producer/distributor ⁸. In 2012, Bidvest merged Chipkins Bakery Supplies and NCP Yeast to form **Bidvest Bakery Solutions (BBS)** (also branded as **Bidbake**), consolidating its bakery ingredients operations ⁸.

A major turning point came in 2016–2017 when Bidcorp (the internationally focused foodservice arm spun out of Bidvest) sought a strategic partner for BBS. In December 2016, Puratos Group agreed to acquire 50% of BBS, seeing growth potential in the African market ⁹ ². Regulatory approvals were obtained in early 2017, and the joint venture **Chipkins Puratos** officially launched (with operations integrated by 2018) ¹⁰ ¹¹. Key milestones in this evolution include:

- **1989:** Bidvest acquires Chipkins Bakery Supplies (foundational foodservice business) ⁸.
- **1997:** Bidvest acquires NCP Yeast, expanding into yeast manufacturing/distribution ⁸.
- **2012:** Chipkins and NCP Yeast merge to form **Bidvest Bakery Solutions**, uniting premixes and yeast under one division ⁸.
- **April 2017:** Puratos Group purchases 50% of BBS; **Chipkins Puratos** JV is formed (equal ownership by Puratos and Bidcorp) ¹ ¹².
- **2018–Present:** Integration of Puratos's product lines and technology, rebranding of Chipkins and NCP products under the Chipkins Puratos umbrella, and a focus on innovation and African market expansion ⁹ ¹³.

Through these stages, Chipkins Puratos inherited nearly 100 years of industry know-how from its local predecessor while gaining Puratos's century-old global R&D and product portfolio (Puratos was founded in 1919) ¹⁴ ². This blend of local heritage and international expertise defines Chipkins Puratos's identity today.

Ownership and Organizational Structure

Chipkins Puratos (Pty) Ltd is a **joint venture** owned 50% by **Puratos NV** (a €3+ billion global ingredients company) and 50% by **Bidcorp Food Africa** (a division of JSE-listed Bid Corporation Ltd) ¹⁵ ¹⁶ . The JV is governed by a board and management team drawn from both parent companies. Nigel Phillips, previously Managing Director of Bidvest Bakery Solutions, became the Managing Director of Chipkins Puratos, providing continuity on the local leadership side ¹⁷ ¹⁸ . The JV's formation meant that from April 2017 onward, Bidcorp no longer fully consolidated the bakery division's revenues – Chipkins Puratos is equity-accounted in Bidcorp's financials, with 50% of its net profit reported by Bidcorp ¹⁹ ²⁰ . Internally, Chipkins Puratos operates as part of **Bidcorp Food Africa's** ingredient segment alongside Crown Food Group (spices, meat ingredients) and Bidfood SA (foodservice distribution) ²¹ . The Chipkins Puratos brand now encompasses the legacy **Chipkins** (bakery ingredients) and **NCP** (yeast) product lines, unified under one organization ² .

The company's headquarters and main production site are in Longmeadow (Edenvale, Gauteng), which also houses an Innovation Center and administrative offices ²² ²³ . Regional branch offices and distribution depots are maintained in major cities including Cape Town, Durban, Port Elizabeth (Gqeberha), Bloemfontein, Nelspruit, Polokwane, and East London, ensuring national coverage ²⁴ ²⁵ . Chipkins Puratos also has a presence in neighboring countries through local subsidiaries or distributors – for example, a branch in Gaborone, **Botswana**, and distribution partnerships in **Namibia** (Windhoek) ²⁶ ²⁷ . These regional offices handle sales and technical support, while the central Longmeadow facility is the manufacturing hub. The integration with Puratos means Chipkins Puratos can leverage Puratos's worldwide network of 75+ production units and 119 innovation centers, although Chipkins Puratos itself focuses on serving Southern Africa with primarily locally-manufactured goods ²⁸ ¹³ .

Products and Services

Chipkins Puratos offers a comprehensive portfolio of ingredients and solutions for the bakery, patisserie (confectionery), and chocolate sectors. Its **core products** include:

- **Bakery Premixes & Improvers:** A wide range of *bread and roll premixes*, bases, and *flour improvers* (e.g. for pan bread, artisan loaves, sweet dough, etc.), often sold under legacy Chipkins or Puratos brands. These enable consistent quality and reduce preparation time for bakers ²⁹ ³⁰ . Flagship lines include *Supa Soft* and *Extra Soft* bread mix ranges, *Tegral* mixes, and enzymatic improvers like *S500* series.
- **Patisserie & Cake Mixes:** *Cake and sponge mixes*, muffin mixes, custard and cream mixes, mousse mixes, and fillings for the confectionery trade ³¹ ³² . Examples are **Queen** vanilla sponge mix, **King** chocolate sponge, and the **Satin** range of cake mixes (including new plant-based cake mixes) ³² ³³ . These cater to everything from high-volume industrial cake producers to boutique pastry shops.
- **Chocolate & Cocoa Products:** As part of Puratos, the company distributes *real Belgian chocolate* (the **Belcolade** brand) and compound chocolates, as well as cocoa-based fillings and glazes ³⁴ ³⁵ . They also offer non-dairy chocolate fillings and cacao products under Puratos's sustainable Cacao-Trace program.
- **Yeast & Baking Agents:** Chipkins Puratos continues to market **NCP Yeast**, a well-known yeast brand in South Africa, in both fresh (wet) and dry forms. It supplies yeast for bread baking to craft and industrial bakers, leveraging the legacy of NCP (though large-scale yeast production is now outsourced) ⁸ ³⁶ . The company also sells related fermentation agents and sourdough/ starters from Puratos's range.

- **Fillings, Icings & Toppings:** Fruit fillings, creams, icings, glazes and non-dairy toppings (such as **Ambiante** and **Splendid** non-dairy whipped toppings) are offered for cakes and pastries ³⁷ ³⁸ . These products extend shelf life and ease of use for in-store bakeries and pâtisseries.
- **Bakery Fats & Margarines:** Through Puratos's line (e.g. **Mimetic** plant-based butter alternative), Chipkins Puratos supplies specialty fats and margarines tailored for laminations, croissants, and viennoiseries ³⁸ .
- **Equipment & Services:** In addition to ingredients, Chipkins Puratos can provide bakery equipment and smallwares – historically, Chipkins and Crown were known to supply ovens, mixers, bakeware, etc., especially to new bakeries. The Bidcorp Emerging Markets report notes Chipkins Puratos “manufactures and distributes baking ingredients and equipment” ³⁹ . While ingredients are the focus, the company offers technical **services** like equipment recommendations, recipe development, and troubleshooting support to customers.

Chipkins Puratos emphasizes high quality and innovation in its product range. Many products are “tailor-made solutions” for local preferences (for example, *premises for staple brown bread or mageu bread*, or ingredients fortified with vitamins per government requirements). With Puratos's R&D, the company has introduced **value-added** ingredients such as *clean-label improvers*, *egg-wash substitutes* (e.g. *Sunset Glaze*), *enzyme-based egg replacers*, and health-oriented mixes (like **Puravita** bread mixes with whole grains and pulses) to the South African market ⁴⁰ ⁴¹ . All products undergo strict quality control, including **lot traceability** – since 2010, the Longmeadow plant implemented a robust WMS system enabling full batch traceability and efficient stock management ⁴² ⁴³ .

Manufacturing and Operations

Chipkins Puratos operates a **state-of-the-art manufacturing facility** in Longmeadow (east of Johannesburg), where it produces the bulk of its bakery ingredient mixes and processes yeast and other products. The plant (formerly Chipkins Bakery Ingredient's factory) has significant capacity – as of 2010 it was supplying around **90 tons per day** of bakery ingredients to the market ³⁰ . This output includes production of bread premix powders, cake mixes, confectionery mixes, and packaging of yeast. The facility was upgraded with a modern Warehouse Management System (DATASCOPE WMS) to handle high volumes and ensure efficiency. Within six weeks of WMS implementation, the factory had increased throughput and achieved targeted daily volumes, with 100% stock accuracy and improved **lot traceability** for food safety ⁴² ⁴³ . These operational improvements allow Chipkins Puratos to reliably supply large industrial clients and thousands of smaller bakeries alike, while maintaining quality control standards (critical for food manufacturing).

In terms of **production process**, the company sources raw materials like flour, sugar, enzymes, emulsifiers, and oils (including sustainable palm oil, as evidenced by Chipkins Puratos's membership in the RSPO) and blends them according to proprietary formulations. It then distributes finished premixes and ingredients through its national network. The Longmeadow site likely houses multiple blending lines and packing lines (for 5kg, 12.5kg, 25kg bags of premix, etc.), as well as climate-controlled storage for yeast and chocolate. The legacy **NCP Yeast** operations mean Chipkins Puratos handles yeast distribution: fresh cream yeast and instant dry yeast are stored under specific conditions and delivered frequently to bakeries. (Notably, in 2012 Bidvest partnered with Lallemand for yeast production, so today Chipkins Puratos sources yeast from modern plants while focusing on downstream distribution and customer support in yeast applications ³⁶ ⁴⁴ .)

On the **logistics** side, Chipkins Puratos maintains a fleet and cold-chain where necessary to deliver to customers across South Africa. It has branch warehouses in major regions (Cape, KZN, Eastern Cape, etc.) that receive stock from the central factory and serve local customers with short lead times ⁴⁵ ⁴⁶ . The branch in Gaborone, Botswana and a distribution arrangement in Windhoek, Namibia extend its

reach beyond South Africa's borders ²⁶ ⁴⁷ . Through **Bidfood Exports**, the company also exports ingredients to other African markets on demand ³⁰ . Coordination with Bidcorp's wider foodservice logistics network likely provides Chipkins Puratos access to established warehousing and transport infrastructure throughout the region.

Operational resilience and innovation are important focus areas. South Africa's **load-shedding** (intermittent power outages) pose a challenge to manufacturing; in response, Bidcorp Food Africa (including Chipkins Puratos's facility) has been investing in solar power and backup energy solutions. In 2024, Bidcorp installed thousands of solar panels and battery systems across six sites to reduce reliance on the grid ⁴⁸ ⁴⁹ . This initiative improves continuity of production at Chipkins Puratos despite electricity constraints. The company also continuously optimizes its supply chain – e.g., implementing strict **HACCP** food safety processes and using the **MyPuratos** digital platform for online ordering and inventory visibility for customers ⁵⁰ ³⁴ . These operational strengths enable Chipkins Puratos to provide **fast, reliable delivery and service** – a key value proposition in a just-in-time industry like fresh baking.

Market Presence and Clients

Chipkins Puratos is a **market leader** in South Africa's bakery ingredients sector. Prior to the JV, Bidvest's bakery division (Chipkins/NCP) was already the largest player nationally ⁴ , and the partnership with Puratos has reinforced this position against both local competitors and multinationals. The company's client base spans the spectrum of the baking industry:

- **Industrial Bakeries:** Large commercial bread manufacturers (producing packaged loaves and rolls at scale) form a significant part of the business. Chipkins Puratos supplies premixes, improvers, and yeast to these high-volume bakeries. The company has won major *"large account"* contracts in recent years, contributing to strong growth in its manufactured product sales ¹⁶ . Industrial clients value consistency and R&D support – areas where Chipkins Puratos excels by leveraging Puratos's technical expertise.
- **Retail and In-Store Bakeries:** Most supermarket chains and convenience retailers in South Africa run in-store bakeries or central bakery kitchens. Chipkins Puratos caters to them with mixes for breads, cakes, doughnuts, etc., that ensure ease of use for staff. It also provides on-site training for retail bakery teams. Bidcorp's reporting noted the JV was traditionally under-represented in some segments of the baking industry, but with Puratos's range, it has been expanding into new retail product categories ¹³ .
- **Artisanal and SME Bakers:** Thousands of independent bakeries, café-bakeries, and confectioners across Southern Africa rely on Chipkins Puratos for ingredients. These smaller customers, often called the *"craft market,"* are supported via the company's technical advisors and the Innovation Center. Chipkins Puratos offers smaller pack sizes and flexible distribution to reach this segment. Notably, it markets the reliability and innovation of Puratos products to even the smallest artisan baker, aiming to elevate their product quality.
- **Foodservice and Hospitality:** Hotels, restaurants, fast-food chains, and catering companies that produce baked goods are also clients. Through Bidfood's synergies, Chipkins Puratos can cross-sell ingredients to foodservice customers (for example, a restaurant chain buying frozen dough or dessert mixes). It also serves franchise chains (like pie or doughnut chains) with custom mixes.
- **Export Markets:** Beyond South Africa, Chipkins Puratos has been tapping into neighboring countries' markets. It has a direct presence in **Botswana** and **Namibia** and likely serves others (e.g. Eswatini, Zambia, Zimbabwe, Mauritius) via distributors or Bidcorp's export arm ⁵¹ . The Puratos partnership explicitly aimed to *"bring Puratos quality to every baker on the continent"*, so Chipkins Puratos has an eye on broader African expansion ⁴⁰ . This may involve supplying

Puratos products to West and East African markets in collaboration with Puratos's global network or following South African retail chains as they expand into Africa.

In the South African context, Chipkins Puratos's major **competitors** include global and local firms: **Bakels South Africa** (part of the Swiss Bakels group, also providing bakery ingredients), **Anchor Yeast/Lallemand** (for yeast and some bakery ingredients), **AB Mauri** (yeast and bakery solutions, though not as entrenched locally), and various smaller mix manufacturers. Large food companies like RCL Foods, Pioneer Foods, Premier FMCG etc. dominate bread production but not the ingredients supply; in fact, Chipkins Puratos is often a supplier to those manufacturers. The industry has seen consolidation, with national bakeries gaining share from independent bakeries in recent years ⁵² ⁵³. Despite that, Chipkins Puratos has grown by focusing on cost-effective solutions (important during consumer spending downturns) and on emerging trends like health and plant-based products, which give it an edge in new product development. According to a 2025 industry report, the company is one of 24 key players in SA's bakery sector, highlighting its prominence alongside household-name food companies ⁵⁴ ⁵⁵. The JV's ability to compete against multinational ingredient suppliers has improved due to Puratos's technical strength – Bidcorp noted that *"despite the presence of multi-nationals, the JV is now in a much stronger position"* to grow in segments where BBS was weaker ¹³.

Chipkins Puratos's value proposition to clients centers on **innovation, consistency, and support**. Customers benefit from access to Puratos's latest global innovations (for instance, enzyme-based improvers, gluten-free and vegan formulations, etc.), while still receiving hands-on local support from the Chipkins Puratos team. The company frequently runs **demonstrations, training workshops, and recipe development sessions** for its clients (advertised via its website, social media, and the *Chipkins Puratos mobile app* which offers a library of tested recipes) ⁵⁶. This customer-centric approach not only sells products but also builds loyalty and showcases how to use the ingredients effectively. In summary, Chipkins Puratos enjoys a broad and entrenched market presence, with a client network that spans from small township bakeries up to the largest industrial bread plants – essentially "everyone who bakes" in Southern Africa can be a customer.

Innovation and R&D Initiatives

Innovation is a cornerstone of Chipkins Puratos's strategy, heavily influenced by the Puratos Group's R&D-centric culture. The company operates an **Innovation Center** in Johannesburg, which is part of Puratos's global network of development kitchens and labs. This center is equipped with the latest industry equipment and serves as a playground for product development, trend analysis, and hands-on training ⁵⁷ ⁵⁸. At the Innovation Center, technical advisors work with clients to test new recipes, improve existing formulations (e.g. enhancing a bread's texture or extending shelf life), and conduct sensory evaluations (**product profiling**) to tailor products to local consumer preferences ⁵⁹ ⁶⁰. Customers – from artisan bakers to supermarket bakery managers – can book time at the center to collaborate on developing unique products or to benchmark their products against competitors, guided by Chipkins Puratos's food technologists ⁵⁸ ⁶⁰. This "co-creation" approach strengthens client relationships and ensures Chipkins Puratos stays at the forefront of emerging market needs.

Key areas of R&D focus and innovation include:

- **Plant-Based and Healthier Solutions:** Responding to global and local trends, Chipkins Puratos has introduced plant-based alternatives and health-oriented ingredients. For example, it offers *Sunset Glaze* (a vegan egg-wash substitute) and *Intens* enzymes that replace eggs in baked goods ⁴¹ ⁶¹. It also has non-dairy creams (for vegan pastries) and high-fiber, wholegrain bread mixes (**Puravita** range) to address consumer demand for nutrition and wellness ³⁸. These products

were developed by Puratos R&D and adapted for the local market – an area where Chipkins Puratos leads, as many competitors have limited plant-based options.

- **Shelf-Life and Convenience Technologies:** Given the vast geography of Africa and inconsistent cold chains, extending shelf life of baked products is valuable. Chipkins Puratos works on enzymes and improver compounds that keep bread softer for longer and cakes moist, without preservatives. It also innovates in “add water only” convenience mixes, which simplify baking processes for customers.
- **Digital Innovation:** Chipkins Puratos has leveraged digital tools for innovation dissemination. The company’s **mobile app** (available on iOS/Android) provides a full listing of recipes and product information, allowing bakers to discover new ideas and techniques on the go ⁵⁶. The app and the company’s online Knowledge Base also gather data on which recipes or solutions are most popular, informing R&D where to focus (e.g., an uptick in interest for gluten-free formulations could spur development in that category). Additionally, Puratos’s global digital platforms (like *MyPuratos*, an e-commerce and customer portal) are used in South Africa, streamlining customer feedback and enabling data-driven innovation based on customer ordering patterns ³⁴ ⁶².
- **Localisation of Global Products:** Part of Chipkins Puratos’s innovation effort is adapting Puratos’s international products to local tastes and conditions. For instance, ingredients might be tweaked to work with South African flour characteristics or to meet regulatory requirements (such as fortification rules for bread flour). The JV planned investments in “*new product categories and technology*” that Puratos brings – such as high-end chocolate patisserie ingredients – which were previously not produced locally ¹³. Since 2017, Chipkins Puratos has rolled out Puratos’s **Belcolade** chocolates, **Satin** cake mix range, and other innovations into the SA market, often being first-to-market with unique solutions (like the first local supplier to offer a complete vegan cake mix, etc.).

Underpinning these efforts is Puratos’s substantial R&D investment (over 2% of revenue globally) and its network of 1,200+ researchers and technical advisors ⁶³. Chipkins Puratos taps into this network for complex challenges. For example, if a local customer wants to develop a new indigenous-flavored bread, the SA team can collaborate with Puratos experts or even use the Puratos global **Taste Tomorrow** consumer insights program to guide development. This synergy ensures Chipkins Puratos’s innovation pipeline remains robust and aligned with future trends, from fermentation-based products to sustainable sourcing. By positioning itself as an innovation leader, Chipkins Puratos not only differentiates from competitors but also helps modernize the African baking industry with world-class techniques.

Talent Development and CSR (Skills for the Future)

One of the most pressing challenges in the baking industry is the shortage of skilled bakers and confectioners. Chipkins Puratos has taken a proactive role in addressing this skills gap in South Africa through significant **training and CSR initiatives**. A flagship program is the **Chipkins Puratos Bakery School South Africa**, launched in early 2019. This initiative – an “*industry first*” in South Africa – established a bakery training school **inside a public high school** (Masisebenze Secondary School in Tembisa township) to train underprivileged students in baking while they complete their regular schooling ⁶⁴ ⁶⁵. Each year, 25 Grade 11 students are selected for a two-year course that grants them both a matric (high school diploma) and an accredited NQF Level 2 qualification in bread and flour confectionery ⁶⁶ ⁶⁷. The curriculum balances academic education with practical bakery training, including modules on business basics (finance, communication) to encourage entrepreneurship ⁶⁸ ⁶⁵. By 2021, the Bakery School SA had seen three cohorts (around 75 students) graduate, with Chipkins Puratos hiring the top graduates as junior bakers or technical advisors, and many others placed in jobs with the company’s customers ⁶⁹ ⁷⁰. This program not only creates employment pathways for youth

but also helps alleviate the scarcity of skilled bakers – as noted by the training manager, “Bakers are the fourth scarcest skill in wholesale and retail”, a trend the school aims to reverse ⁷¹ ⁷² .



Chipkins Puratos Bakery School facility at Masisebenze Secondary School (Tembisa). Launched in 2019, this on-campus bakery training centre helps students earn a matric and an industry-recognised baking qualification ⁶⁶ . The program addresses South Africa's shortage of qualified bakers, with graduates gaining hands-on skills and job opportunities in the baking industry. ⁶⁷ ⁷⁰

Chipkins Puratos's commitment to skills development extends beyond the school. The company actively participates in the national **YES (Youth Employment Service)** program, offering internships and on-the-job training to unemployed youth. In 2023, for example, Chipkins Puratos reported creating additional job opportunities for Bakery School graduates through YES, and even set up a fully equipped **container bakery** in Tembisa as a micro-business to employ two alumni and serve the local community ⁷³ . This not only provides real-world experience to graduates but also fosters entrepreneurship (a graduate now runs a small bakery business via this container shop).

Internally, Chipkins Puratos invests in its workforce through training programs and exposure to international best practices. After the JV, employees gained opportunities for exchange and learning within Puratos's global network. Bidcorp's CEO highlighted that “employees will be exposed to new skills, innovative products and international best practices” as a result of Puratos's involvement ⁴⁰ ⁷⁴ . Technical staff are regularly upskilled on new product technology (e.g., learning to use Puratos's sourdough fermentation techniques or digital tools). The company's national training manager, Richard Kuppan, has been a spokesperson about the need for skill upliftment in the sector ⁷¹ . His emphasis on combining practical lessons with business education in training programs reflects Chipkins Puratos's holistic approach to talent development.

From a broader CSR perspective, Chipkins Puratos (and Puratos Group) demonstrate a commitment to community upliftment and **sustainability**. The Bakery School initiative is rooted in the concept of giving back and building local capacity – encapsulating the South African spirit of “Ubuntu”. Bidcorp's 2025 integrated report even cites the Chipkins Puratos Bakery School as “a working example of the South African spirit of Ubuntu”, underlining the social impact it has ⁷⁵ . The company also likely participates in charitable baking events, supports small enterprise development (e.g., training local spaza shop bakers), and ensures ethical sourcing (e.g., using sustainable palm oil and cocoa as per Puratos's global

commitments). All these efforts serve a dual purpose: strengthening the industry's future talent pool and ingraining Chipkins Puratos as a socially responsible leader in the community.

Financial Performance Highlights

As a private JV, Chipkins Puratos's detailed financials are not publicly broken out, but parent disclosures give a sense of its scale and performance trajectory. The JV was formed in 2017 with the goal of accelerating growth, and it appears to be delivering robust results. In Bidcorp's Food Africa segment, Chipkins Puratos has posted **strong profit growth** year-over-year. For the financial year ended June 2024, Bidcorp noted that *"Chipkins Puratos JV posted outstanding results"* despite South Africa's limited GDP growth, power outages, and pressured consumer spending ²⁰ ⁷⁶. The Chipkins Puratos JV's trading profit for FY2024 was up **~22%** (in Rand terms) from the prior year, reflecting improved margins and expense management ⁷⁷. This outpaced the overall Food Africa revenue growth (~7% in FY2024) and contributed significantly to the division's 20%+ profit increase ⁷⁸ ⁷⁹.

Key financial drivers include the **shift to higher-margin own manufacturing** and new customer wins. By 2025, Bidcorp reported that Chipkins Puratos achieved *"particularly good results on its own-manufactured business with a number of large account wins."* ¹⁶. This suggests that the JV is selling more of its proprietary premixes (which carry better margins than resold goods) and expanding its client base. The initial loss of full revenue consolidation (when Bidcorp moved from 100% to 50% ownership) meant a slight dip in reported segment revenue in 2018 ¹⁹, but underlying joint venture sales have been growing. Industry sources estimate Chipkins Puratos's annual revenue around **\$100–110 million** (roughly R1.5–1.8 billion) in recent years ⁸⁰, though one database lists a more conservative ~\$65 million (likely not including Puratos-sourced product sales) ⁸¹. The JV's employee count is about 400, implying a revenue per employee consistent with a high-value manufacturing business (Growjo estimated ~\$337k revenue per employee) ⁸⁰.

From Puratos Group's perspective, the South African JV adds to its global earnings and provides a platform for African expansion. Puratos's 2023 Annual Report highlighted Chipkins Puratos in the context of youth training and community impact, indicating it as a successful venture in terms of corporate values as well ⁷⁰ ¹⁸. While not broken out by region, Puratos's overall financials (~€3.1B net sales in 2022) grew partly by ventures like this in emerging markets ⁶³.

Looking ahead, the outlook for Chipkins Puratos is optimistic but mindful of external conditions. The local bakery market faces input cost volatility (flour, fuel), a shift towards white bread and affordability for consumers ⁵³ ⁵². However, opportunities lie in **exporting to Southern Africa**, capitalizing on health trends (high-fiber, clean-label, etc.), and leveraging any economic recovery. By late 2024, signs of easing inflation, stabilizing energy supply, and potential consumer spend rebound were noted, which could benefit bakery sales in 2025 ⁵³ ⁸². Chipkins Puratos is well-positioned to capture growth as conditions improve, especially given its investments in efficiency (solar power to cut costs, IT enhancements, etc.) and its strong market position. The Bidcorp 2025 review expressed that *"growth prospects are promising"* for Food Africa, and specifically highlighted Chipkins Puratos's high performance and promising pipeline ⁸³ ¹⁶.

Strategic Outlook and Opportunities

Since its formation, Chipkins Puratos has focused on **increasing production capacity, broadening the product range, and expanding market reach** – all in line with the JV's founding vision. Puratos's CEO

described Africa as “*the next big frontier*”, and Chipkins Puratos is the vehicle to pursue that frontier in southern Africa ⁴⁰. In practical terms, the company's strategy includes:

- **African Market Expansion:** Using South Africa as a base, Chipkins Puratos plans to penetrate other sub-Saharan markets. This could involve setting up local branches or partnering with distributors in countries like Zambia, Kenya, Nigeria, etc., or even establishing production if volumes justify it. The JV's success domestically provides a springboard; Bidcorp's international footprint and Puratos's global customer relationships (with industrial bakers who may enter Africa) can be leveraged to win business in new territories ⁹ ⁸⁴. In coming years, we may see Chipkins Puratos-branded products manufactured in SA but sold across the continent, especially as free trade agreements (AfCFTA) make African trade easier.
- **Product Portfolio Diversification:** A stated goal at JV launch was investment in new product categories and technologies ¹³. Already, Chipkins Puratos has moved into higher-end patisserie and chocolate ingredients where BBS was previously absent. In the future, we can expect more **tailor-made solutions** for specific industries (e.g., mixes for local delicacies, or par-bake frozen dough for quick-service restaurants). Also, aligning with health trends, the company might develop more diabetic-friendly or high-protein bakery mixes, tapping into the growing health-food segment in South Africa. Given Puratos's active research into plant-based and nutritional foods, Chipkins Puratos will likely introduce more such innovations (for instance, algae-based egg replacements or new gluten-free ranges) as the market develops.
- **Technology and Digital Transformation:** The bakery ingredients business, traditionally very hands-on, is also seeing digital transformation. Chipkins Puratos will probably enhance its **digital customer experience** – expanding e-commerce capabilities (online ordering, tracking, personalized recommendations via MyPuratos platform) to streamline the supply chain. Internally, the company might implement more advanced analytics (possibly AI-driven demand forecasting to optimize inventory in each branch, given the variability of orders from many small customers). There is also potential to use **AI in R&D**, e.g., analyzing hundreds of recipe variations or consumer taste data to create the “optimal” product for a target demographic. While not explicitly stated, these are opportunities implicit in the push for innovation and Puratos's global interest in emerging technologies.
- **Continuous Improvement and Sustainability:** Strategically, Chipkins Puratos will continue to focus on cost optimization (important in a price-sensitive market). Investments like solar panels and efficient WMS are part of this. Sustainability will be a dual goal – ensuring ingredients are responsibly sourced (palm oil, cocoa, etc.) and reducing the environmental footprint of operations. This aligns with Puratos's global commitments and also appeals to the corporate customers who have their own ESG targets. The company's RSPO membership and Cacao-Trace program are examples of this direction. Moreover, by improving local production capabilities, Chipkins Puratos reduces reliance on imports (hedging against currency fluctuations and import costs), which is a sound strategy in South Africa's economic context.

In summary, Chipkins Puratos stands at the intersection of South African baking tradition and global innovation. It has a dominant market position and strong backing to pursue new horizons. The company's near-term focus will likely be on consolidating its gains – growing market share by being the go-to partner for any bakery looking to improve or expand, and ensuring operational excellence amid external challenges. Forward-looking, **GenAI and advanced analytics** could become part of the conversation in areas like customer service (e.g., AI-driven chatbot to answer baker's technical questions), R&D (AI-generated recipe suggestions), or manufacturing (predictive maintenance on equipment). While these are speculative, Chipkins Puratos has shown an openness to innovation, so such tools could be evaluated to maintain its innovative edge.

Ultimately, Chipkins Puratos's journey from a family-run ingredient supplier (Chipkins) to a modern joint venture encapsulates a wider trend: local expertise empowered by global knowledge. This positions the company to not only maintain its leadership in South Africa but to spearhead the development of the bakery industry across the region, ensuring that bakers of all sizes have access to world-class ingredients and support. As Puratos's CEO Daniel Malcorps summed up, this partnership enables bringing *"the same Puratos quality ingredients to every baker on the continent"* – a mission Chipkins Puratos will continue to drive in the years ahead ⁴⁰.

Sources: ¹ ⁸⁵ ³ ⁵ ⁸ ³⁰ ⁹ ⁶⁶ ⁶⁵ ⁷⁰ ²⁰ ¹⁶

¹ ⁴ ²² ⁴⁰ Agreement with Bidcorp Food's Bakery Solutions Division - Puratos

<https://www.puratos.us/en/news/agreement-with-bidcorp-foods-bakery-solutions-division>

² ⁹ ¹³ ¹⁷ ⁷⁴ ⁸⁴ Puratos Group to become equal shareholder in Bidcorp Food Africa

<https://www.bizcommunity.com/Article/196/163/155087.html>

³ ²¹ ³⁹ Bidcorp Group - Emerging markets

<https://www.bidcorpgroup.com/emerging-markets.php>

⁵ VestactBlog entry

https://www.vestact.com/single.php?p_id=15053

⁶ ⁷ Bidvest Annual Report - The history of Bidvest

<https://www.bidvest-reports.co.za/integrated-reports/2006/history.htm>

⁸ ¹² PowerPoint Presentation

<https://www.bidcorpgroup.com/pdf/capital-market-2018/markets-day-africa-middle-east-turkey.pdf>

¹⁰ ¹¹ ¹⁴ ¹⁵ ³¹ ³² ⁸⁵ Puratos signs an agreement with Bidcorp Food's Bakery Solutions division - Puratos

<https://www.chipkinspuratos.co.za/za/news/puratos-signs-an-agreement-with-bidcorp-foods-bakery-solutions-division>

¹⁶ bidcorp-reports.com

<https://www.bidcorp-reports.com/reports/integrated-report-2025/pdf/emerging-markets.pdf>

¹⁸ ⁶⁹ ⁷⁰ ⁷³ puratos.com

<https://www.puratos.com/content/dam/corporate/documents/commitments/2024/Bakery-Schools-2023.pdf>

¹⁹ Bid Corporation Limited Unaudited results for the half-year ended ...

<https://www.bidcorp-reports.com/results/interim-results-2018/commentary.php>

²⁰ ⁴⁸ ⁴⁹ ⁷⁶ ⁷⁷ ⁷⁸ ⁷⁹ ⁸³ bidcorpgroup.com

<https://www.bidcorpgroup.com/pdf/results/2024/annuals/results-announcement.pdf>

²³ ³⁰ ⁴² ⁴³ CSI Food & Beverage » Datascope

<https://datascopewms.com/case-studies-by-industry/case-studies-by-industry/food-beverage/>

²⁴ ²⁵ ²⁶ ²⁷ ⁴⁵ ⁴⁶ ⁴⁷ Contact us - Puratos

<https://www.chipkinspuratos.co.za/za/contact-us>

²⁸ ³⁴ ³⁵ ⁶² ⁶³ Our organisation - Puratos

<https://www.chipkinspuratos.co.za/za/about-puratos/our-organisation>

²⁹ Member - CHIPKINS PURATOS (PTY) LTD - Roundtable on Sustainable Palm Oil (RSPO)

<https://rspo.org/members/9-1897-17-000-00/>

³³ ³⁷ ³⁸ ⁴¹ ⁵⁰ ⁶¹ Why Plant Based Will Transform the Food Industry - Puratos

https://www.chipkinspuratos.co.za/za/blog/Why_Plant_Based_Will_Transform_the_Food_Industry

36 44 **Competition Act: Transaction approved with conditions: Rymco (Proprietary) Limited and Yeastpro (Proprietary) Limited**

https://www.gov.za/sites/default/files/gcis_document/201409/35816gen872a.pdf

51 **Link On Advertising - CHIPKINS PURATOS PORT ELIZABETH**

<https://saonlinedirectory.co.za/showlisting.php?listing=992>

52 53 54 55 82 **South Africa Bakery Products Manufacturing Report 2025,**

<https://www.globenewswire.com/news-release/2025/04/17/3063115/28124/en/South-Africa-Bakery-Products-Manufacturing-Report-2025-with-Profiles-of-24-Players-including-Tiger-Brands-Pioneer-Foods-RCL-Foods-Premier-FMCG-National-Brands-Libstar-Baketechnology-and-.html>

56 **Chipkins Puratos - Apps on Google Play**

https://play.google.com/store/apps/details?id=za.co.chipkinspuratos.app&hl=en_US

57 58 59 60 **Innovation Center - Puratos**

<https://www.chipkinspuratos.co.za/za/services/innovation-center>

64 65 66 67 68 71 72 **Chipkins Puratos Bakery School SA: creating the perfect recipe for tomorrow's baking and confectionary heroes | BakerSA**

<https://www.bakersa.co.za/chipkins-puratos-bakery-school-sa/>

75 **ANNUAL INTEGRATED REPORT - Bidcorp Group**

<https://www.bidcorpgroup.com/pdf/reports/2020/bidcorp-2020-air.pdf>

80 **Chipkins Puratos: Revenue, Competitors, Alternatives - Growjo**

https://growjo.com/company/Chipkins_Puratos

81 **Find Bakeries and Tortilla Manufacturing companies in South Africa**

https://www.dnb.com/business-directory/company-information.bakeries_and_tortilla_manufacturing.za.html